Post-war transformation and planned development, 1950–1980

Lecture 3

Learning objectives

- **How did agricultural expansion reshape production, cities, and employment?**
  Cultivation spread, agricultural credit expanded, and mechanization raised the amount of capital used on farms. Tractors reduced the labor needed for some tasks, while roads made it easier for workers to reach cities. Urban population grew much faster than total population, adding to demand for jobs, housing, and transport.
- **Why did Türkiye adopt comprehensive development planning?**
  Rapid expansion in the early 1950s gave way to inflation and external payment difficulties. The new constitutional framework placed social justice and higher living standards alongside growth. Planning was expected to coordinate investment and help prevent a return to the instability of the late 1950s.

Learning objectives

- **Why did industrial growth coexist with recurring foreign exchange shortages?**
  Domestic factories replaced some finished imports but continued to buy machinery, fuel, and essential parts abroad. Manufacturing was oriented mainly toward the domestic market, and industrial export programs were limited. When import costs rose and external finance tightened, shortages of foreign exchange constrained production.
- **How did international monetary arrangements affect domestic policy?**
  IMF membership placed Türkiye within a fixed exchange rate system that limited large unilateral devaluations. In 1958, a negotiated devaluation was combined with changes in trade policy and limits on public expenditure and money growth. After Bretton Woods ended, floating rates among the major currencies raised new questions about the external value of the lira.

Economic phases, 1950–1980

Period	Main economic development
1950–1953	Rapid expansion led by agriculture, credit, and infrastructure
1954–1960	Slower growth, inflation, and the 1958 stabilization package
1963–1977	Five-year plans and protected industrialization
1978–1980	Severe crisis, delayed planning, and a change in strategy

- **1950–1953: Agricultural expansion**
  Lower interest rates, rising bank credit, and foreign aid increased the funds available for expansion. Resources were directed toward agriculture and infrastructure, especially roads. Farm output and the share sold in markets rose as land, machinery, and credit became more widely used.
- **1954–1960: Slowdown and stabilization**
  A severe drought interrupted the rise in farm output in 1954. Persistent trade deficits and faster inflation made foreign payments increasingly difficult. The 1958 program combined devaluation, tighter domestic policy, and new foreign credits.

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- **1963–1977: Planned industrialization**
  The First Plan began in 1963 under a framework that covered both economic and social development. Industry was promoted through public investment, protection, and incentives for private firms. By the Third Plan, domestic production of machinery and intermediate goods had become a priority.
- **1978–1980: Crisis and policy change**
  The Third Plan ended in 1977, and 1978 was not covered by a five-year plan. The Fourth Plan sought further industrialization as the economy faced severe shortages of foreign exchange. The January 1980 package shifted economic policy, and a military coup followed in September.

Post-war alignment and economic policy

- **Post-war alignment with the West**
  The United States emerged from the war as the leading power in the Western bloc. Domestic conditions, geography, and the new international rivalry influenced Türkiye's decision to align with that bloc. Cooperation with Western governments and institutions widened after the war.
- **Participation in international institutions**
  Türkiye sought a place in the institutions established after the war, including the United Nations, the IMF, and the World Bank. It also joined the emerging European institutional framework through the Council of Europe. Participation in Western economic organizations later included the OECD.

Post-war alignment and economic policy

- **Departure from the industrial strategy of the 1930s**
  The industrial policies of the 1930s aimed at developing domestic manufacturing and preserving room for independent policy. After the war, foreign policy shifted away from nonalignment. Recommendations for agricultural specialization and freer trade also changed the direction of economic policy.
- **Aid and policy conditions**
  Assistance provided grants and loans for an economy making the transition to peacetime. Aid was tied to economic policy and to political and institutional developments. Recommendations emphasized agriculture, infrastructure, and a larger role for private business.

Foreign aid and development priorities

- **Marshall Plan and European reconstruction**
  The Marshall Plan was designed to support European reconstruction after the war. The United States included Türkiye in the program. Agricultural supplies and infrastructure investment were emphasized in the proposed role for Türkiye.
- **Truman Doctrine and containment**
  The United States established a separate aid package for Türkiye and Greece. Its main political aim was to prevent the spread of communism in the two countries. Economic assistance therefore accompanied closer strategic ties to the United States.

Foreign aid and development priorities

- **Recommendations on agriculture and infrastructure**
  The United States and the newly established World Bank issued reports with similar recommendations. Both favored agriculture and infrastructure over further investment in heavy industry. The 1947 development plan emphasized these priorities and proposed more support for private enterprise.
- **The alternative industrial proposal**
  A late wartime industrialization proposal addressed the transition to peacetime production. It recommended continuing state-led industry alongside investment in agriculture and transport. The government did not implement that proposal and adopted different priorities.

Agricultural specialization

- **Food and raw materials for Europe**
  European reconstruction created demand for agricultural supplies. Türkiye was encouraged to meet part of that demand with food and raw materials. This would give agriculture a central role in the country's trade with Europe.
- **Capital allocation and industrial priorities**
  The recommendations called for directing more capital toward farming. They discouraged new heavy-industry projects such as iron and steel, fertilizers, and paper. Private manufacturing was expected to focus mainly on small-scale and light industry.

Agricultural specialization

- **Specialization and trade liberalization**
  The strategy assumed that agricultural specialization and freer foreign trade could raise growth. A post-war devaluation was intended to make imports dearer and exports cheaper for foreign buyers. The expected improvement in exports depended on how buyers and producers responded to those price changes.
- **Contrast with the 1930s**
  The earlier strategy sought to build domestic industrial capacity despite the prevailing international division of labor. Public enterprises had been central to that industrialization effort. The post-war recommendations assigned a higher priority to agricultural production and infrastructure.

Private enterprise and public investment under Menderes

Stated orientation	Observed practice
Private enterprise and free trade	Large public investments
Privatization proposals	New or enlarged state enterprises

- **Private enterprise and free trade**
  The Democrat Party entered office with a program that favored private enterprise. The preceding policy proposals encouraged competition in domestic and foreign trade. Public enterprises that remained were expected to support private firms through inputs and joint ventures.
- **Large public investment**
  Large public investments were made during the Menderes era. Roads became a major priority, and demand grew for products that private firms and imports could not supply in sufficient quantities. Joint public and private ventures also invested in food, textiles, mining, transport, and banking.

Private enterprise and public investment under Menderes

Stated orientation	Observed practice
Private enterprise and free trade	Large public investments
Privatization proposals	New or enlarged state enterprises

- **Privatization proposals**
  The first Democrat Party program proposed selling major public enterprises. The announced privatization remained largely on paper. When shortages emerged, some existing public enterprises were expanded instead.
- **New and enlarged state enterprises**
  New enterprises were established in petroleum, coal, paper, and other activities. Many public firms supplied intermediate goods or basic inputs used by private manufacturers. Private firms generally concentrated on basic consumer goods, though some consumer goods were also produced by public firms.

Credit, spending, and the early expansion

- **Money supply and government spending**
  Money supply and budget expenditure more than doubled during the early expansion. The increase in government spending occurred alongside easier credit. Budget deficits became more prominent in the second half of the decade.
- **Bank credit and interest rates**
  Interest rates were lowered while bank credit expanded roughly fivefold. Increased lending added to the financing available for production and investment. Agricultural credit also rose sharply, reaching more than two billion lira per year about a decade after 1947.

Credit, spending, and the early expansion

- **Grants and borrowing from abroad**
  Grants and credits from the United States added to the resources available domestically. By 1956, grants exceeded 360 million dollars, more than twice the credits from the same source. Additional loans were provided by international financial institutions.
- **Agriculture and road building**
  Agriculture and infrastructure were given priority during the early expansion. Farm credit and capital inputs increased, and new roads helped connect agricultural areas to markets. Road construction also stimulated demand for imported vehicles and related supplies.

Sources of agricultural expansion

Input or policy	Evidence	Economic meaning
Cultivated land	About 13m ha to over 23m ha by 1962	More land brought into production
Farm credit	About 0.2bn to over 2bn TL in a decade after 1947	More financing for farm activity
Mechanization	Rapid expansion of tractor use	Less labor needed for some tasks
Price support	Government kept farm prices high	Stronger incentives to market output

- **Expansion of cultivated land**
  Cultivated land increased from about 13 million hectares to more than 23 million by 1962. The increase of roughly 10 million hectares was achieved partly by reducing pasture. The area of individual farms nevertheless remained relatively small.
- **Agricultural credit and mechanization**
  Annual agricultural credit rose from about 200 million lira to more than two billion lira in the decade after 1947. Tractors were adopted rapidly, reducing labor requirements for some farm operations. More credit and machinery allowed production to expand with a different mix of inputs.

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- **Farm prices and marketed output**
  Public policy kept farm prices high as the supply of agricultural inputs increased. The share of farm output sold in markets rose, and wheat production roughly doubled. Production of inputs for industry, including cotton and sugar beet, also increased.
- **Inputs and productivity**
  The increase in land, credit, and machinery helps explain why total farm output rose. A severe drought interrupted that rise in 1954. The figures describe the expansion of inputs and do not by themselves measure output per unit of input.

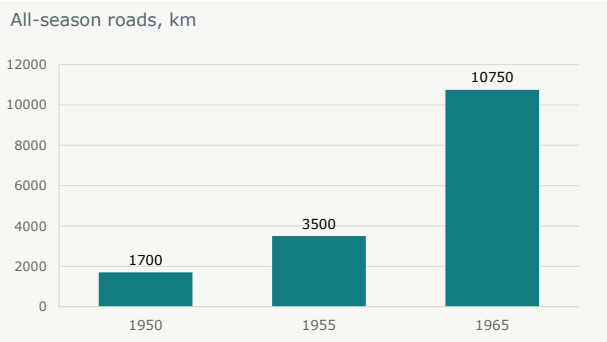
Agricultural expansion and its longer-term costs

- **Conversion of pasture to cropland**
  Cultivated area rose from about 13 million hectares to more than 23 million hectares by 1962. The increase was achieved partly by converting pasture to cropland. Total farm output therefore grew in part because more land was brought into production.
- **Risks to livestock production**
  Pasture available for grazing declined as cultivated land expanded. The reduction was considered harmful to animal husbandry over the longer term. The gain in crop area thus came at a cost to another agricultural activity.

Agricultural expansion and its longer-term costs

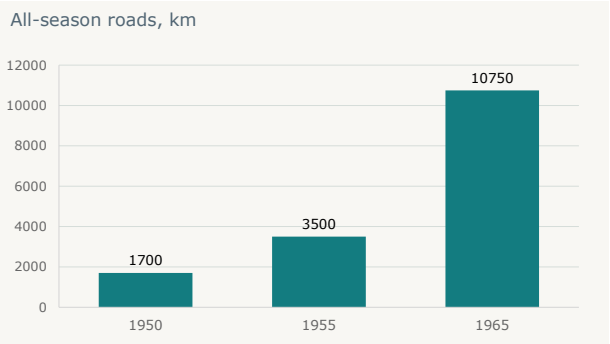
- **Farm size**
  The area farmed nationwide increased substantially. Individual production units nevertheless remained relatively small. An expansion in total cultivated area did not imply that farms had been consolidated into larger units.
- **Mechanization and migration**
  Mechanization reduced the need for farm labor in some activities. More roads made it easier for rural workers to move to towns and cities. Migration and population growth together increased the pressure on urban labor markets and housing.

Road construction and import demand



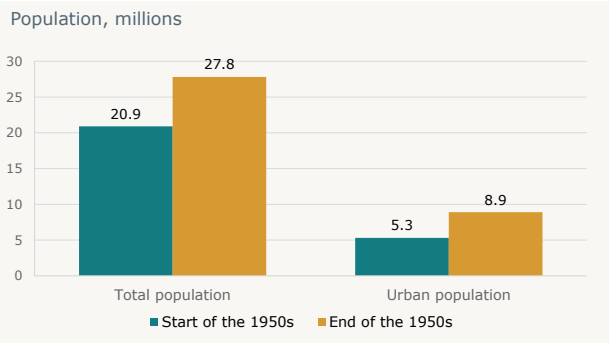
- **Road growth during the 1950s**
  All-season roads increased from 1,700 kilometers in 1950 to 3,500 kilometers in 1955. This was more than a doubling in five years. The increase followed a shift in transport policy from railways toward roads and highways.
- **Expansion into the planned period**
  All-season roads reached 10,750 kilometers in 1965. This was roughly three times the 1955 length. Better rural road connections facilitated domestic migration and linked producers with more markets.

Road construction and import demand



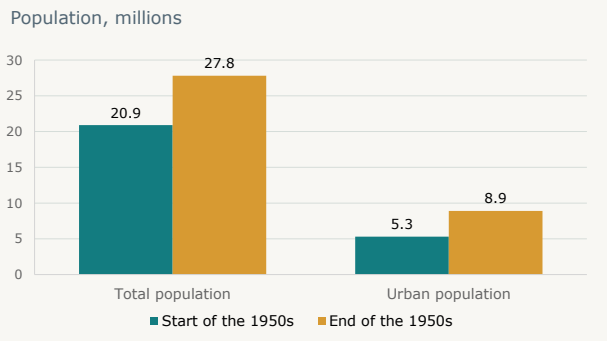
- **Imported vehicles and operating supplies** The road network was used by growing numbers of cars, trucks, and buses. Vehicles were imported, and their operation increased the need for fuel, spare parts, and related services. Expansion of domestic transport therefore created demand for some foreign goods.

Population growth and urbanization



- **Total population growth**
  Total population rose from about 20.9 million to 27.8 million during the 1950s. The national population thus grew by about one-third. Urban populations increased within an already growing national population.
- **Urban population growth**
  The number of urban residents rose from about 5.3 million to 8.9 million. That increase was roughly two-thirds, substantially faster than the increase in the national population. The urban share of the population consequently rose.

Population growth and urbanization



- **Mechanization, roads, and migration**
  Mechanization reduced labor requirements on farms. The expansion of roads made it easier to leave rural areas. Migration therefore reinforced the urban growth associated with the national population increase.
- **Demand for urban services**
  Cities could not immediately provide enough jobs, housing, and transport for incoming residents. Informal housing and shared urban transport spread in response. Construction and related service activities expanded as urban needs increased.

Urbanization, housing, and public services

- **Housing and transport shortages**
  Population growth and migration increased the demand for housing and transport. Cities were unprepared to supply these services at the pace required. Finding enough jobs for incoming workers was also a problem.
- **Gecekondu and dolmuş**
  Housing shortages led to the spread of informal dwellings known as gecekondu. Shortages of urban transport encouraged the use of shared vehicles known as dolmuş. Both practices grew as households sought services that were not being supplied in sufficient quantities.

Urbanization, housing, and public services

- **Urban demand for manufactured goods**
  A larger domestic market stimulated manufacturing in the 1950s. Basic consumer goods were increasingly produced at home, and some durable goods began to be manufactured as well. In the planned period, migration was also expected to increase appliance demand because electricity was limited in many rural areas.
- **Pressure on municipal services**
  The influx of residents increased demand for services as well as housing and transport. Later urban growth also raised demand for education and health facilities. When supply did not keep pace, shortages and higher rents could result.

New state economic enterprises, 1950–1957

Enterprise	Year listed	Main activity
MKEK	1950	Machinery and chemicals
Meat and Fish Institution	1952	Food processing
TPAO	1954	Petroleum
SEKA	1955	Pulp and paper
Turkish Coal Enterprises	1957	Coal

- **Public production under a liberal policy**
  Large public investments accompanied a policy that favored private enterprise. New public firms included the Mechanical and Chemical Industry Corporation in 1950 and the Meat and Fish Institution in 1952. Further enterprises were established in petroleum, paper, and coal between 1954 and 1957.
- **Supplies for private industry**
  Public firms often provided intermediate products and basic inputs needed by private manufacturers. Private firms concentrated mainly on basic consumer goods. Some food and agricultural processing activities were also carried out by public enterprises.

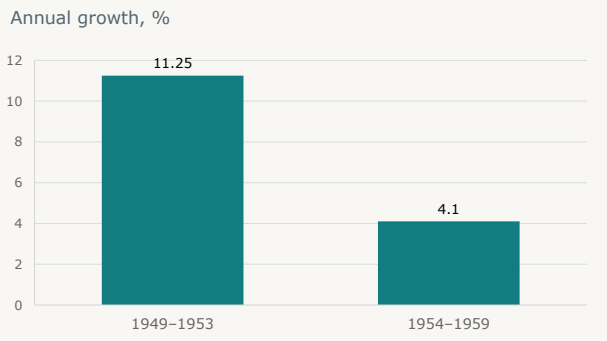
Import substitution before comprehensive planning

- **Domestic production of consumer goods**
  Expansion of the domestic market encouraged firms to supply basic consumer goods. The increase in output allowed some goods previously imported to be produced within Türkiye. Private manufacturers undertook much of this production, while public enterprises supplied many of the inputs.
- **The first stage of import substitution**
  The production of basic consumer goods was the first stage of import-substituting industrialization. This stage had largely run its course by the end of the 1950s. Later plans placed greater emphasis on durable consumer goods, intermediate inputs, and machinery.

Import substitution before comprehensive planning

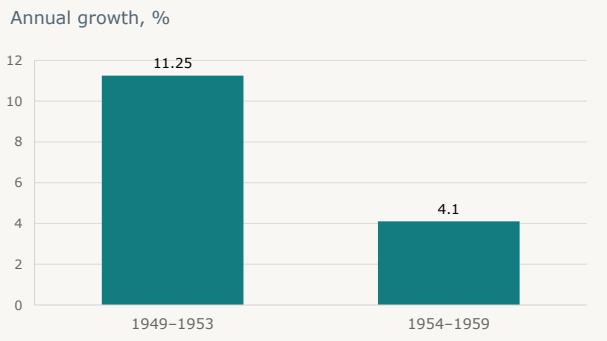
- **The domestic market and early durables**
  Manufacturing expanded alongside construction, trade, transport, and banking. Rising domestic demand supported the production of basic goods. Producers also began to make some durable goods domestically, including refrigerators.
- **Dependence on imported equipment and parts**
  Producing a finished good domestically did not mean all its inputs were produced at home. Later assembly lines continued to rely on imported equipment and essential components. Industry therefore remained sensitive to the availability of foreign exchange.

Economic growth in the 1950s



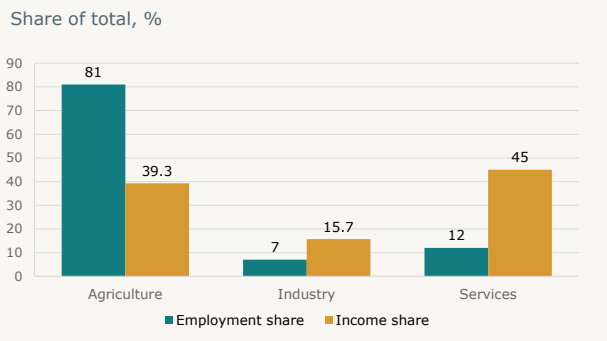
- **Growth in 1949–1953**
  Annual growth averaged 11.25 percent between 1949 and 1953. Credit, government spending, and foreign resources expanded during the early 1950s. Agriculture benefited from more land, machinery, and credit.
- **Growth in 1954–1959**
  Annual growth fell to an average of 4.1 percent between 1954 and 1959. The average was 7.15 percentage points below that of the earlier period. The fall in the growth rate does not mean that output declined in every year.

Economic growth in the 1950s



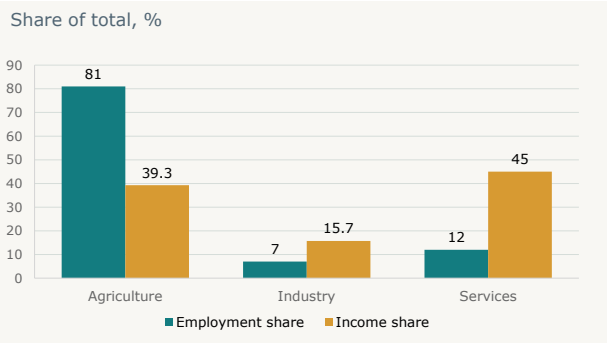
- **Drought and growing imbalances**
  A severe drought interrupted the expansion of agricultural output in 1954. Trade deficits became persistent in the second half of the decade. Faster inflation and payment difficulties made it harder to continue the earlier expansion.
- **Instability across the decade**
  Growth fluctuated rather than proceeding at a stable rate. The two bars compare period averages, which do not show the variation from year to year. The slowdown preceded the 1958 stabilization package.

Employment and income shares by sector, 1955



- **Agriculture's employment and income shares**
  Agriculture accounted for about 81 percent of employment in 1955. It generated about 39.3 percent of income. Its share of income was therefore much smaller than its share of workers.
- **Industry and services**
  Industry represented about 7 percent of employment and 15.7 percent of income. Services accounted for about 12 percent of employment and 45 percent of income. Both sectors had a larger share of income than of workers.

Employment and income shares by sector, 1955



- **Interpreting income per worker**
  Comparing the two shares gives a rough indication of differences in average sectoral income per worker. The calculation counts everyone employed in a sector without distinguishing their roles in production. It does not establish the wages or incomes of individual workers.

Foreign trade and inflation in the 1950s

- **Decline in export coverage of imports**
  Exports covered about 90 percent of imports just after the war. By 1955, export coverage had fallen to 63 percent. Export receipts consequently paid for a smaller share of the import bill.
- **Trade deficits and foreign payments**
  The trade deficit became persistent, especially in the second half of the 1950s. Foreign payments became harder to make as imports continued to exceed export earnings. New borrowing from abroad also became increasingly difficult.

Foreign trade and inflation in the 1950s

- **Faster inflation**
  Budget and trade imbalances accompanied the rapid increase in the money supply. Inflation averaged around 10 percent a year in the early 1950s. It reached about 25 percent in the second half of the decade.
- **Real earnings**
  Wage and salary earners may have gained purchasing power during the earlier expansion. Those gains came under pressure as inflation accelerated. Where nominal earnings failed to keep pace with prices, real incomes declined.

The 1958 stabilization program

- **Agreement with the IMF**
  Persistent trade deficits made foreign payments increasingly difficult. After resisting external pressure over the direction of economic policy, the government reached agreement with the IMF in 1958. Foreign credits from the IMF, the OECD, and the United States accompanied the measures.
- **Devaluation of the lira**
  The stabilization program included a devaluation. The lira price of one dollar was raised gradually to nine lira and fixed there. A higher lira price for foreign currency made imported goods more expensive in domestic currency.

The 1958 stabilization program

- **Monetary and fiscal restraint**
  The program called for limits on the money supply and public expenditure. Prices for goods and services produced by state enterprises were raised. Government capital investment was also to be programmed.
- **Trade liberalization**
  The package included more liberal policies for domestic and foreign trade. This was implemented alongside devaluation and limits on domestic spending. The measures sought to address external payment difficulties without relying on a single policy instrument.

The economic and political crisis of the late 1950s

- **Economic deterioration and restrictions on freedoms**
  The rapid expansion ended around 1954, and economic demands became harder to meet. As growth slowed, the government continued to seek faster expansion. Restrictions on press, academic, and associational freedoms tightened during the same period.
- **Wage earners and the civil service**
  Inflation reduced real incomes when wages and salaries did not keep pace with prices. Commodity shortages and rents from rapid urbanization affected groups differently. The purchasing power of the bureaucracy fell as the crisis deepened.

The economic and political crisis of the late 1950s

- **Political rivalry and the May 1960 coup**
  Rivalry intensified between the ruling Democrat Party and its opponents. The conflict was not resolved through the existing political institutions. The military intervened in May 1960.
- **Growth and social justice after 1960**
  The 1961 Constitution expanded economic and social rights. The new approach sought rapid growth together with fairer income distribution and higher living standards. Comprehensive planning was expected to help achieve those objectives.

Planning and socioeconomic rights

- **Political and socioeconomic rights**
  The 1961 Constitution strengthened recognition of political freedoms such as freedom of expression and research. It also gave greater weight to economic and social rights. Constitutional provisions framed the preparation and implementation of development plans.
- **Social justice and economic growth**
  Rapid growth was expected to support higher living standards and greater stability. Social justice also meant broader social protection, greater equality of opportunity, and more balanced regional development. Income distribution was therefore part of the planning agenda.

Planning and socioeconomic rights

- **Unionization and the right to strike**
  The framework recognized labor rights as part of social justice. Unionization was backed by recognition of the right to strike. Rights to work, education, and health services were also emphasized.
- **Planning and stability**
  Planning was expected to prevent a recurrence of the economic and social crises of the late 1950s. Industrialists supported more systematic use of public investment, and foreign lenders had called for public capital spending to be programmed. Growth, distribution, and stability were treated as related objectives.

Industrial priorities in the five-year plans

Plan	Period	Main emphasis
First	1963–1967	Balanced development and industrial expansion
Second	1968–1972	Industry as the leading sector
Third	1973–1977	Machinery and intermediate goods
Fourth	1979–1983	Investment goods, energy, and wider ownership

No five-year plan covered 1978.

- **First Plan, 1963–1967**
  Agriculture still accounted for most employment at the start of planning. The First Plan sought balanced development between agriculture and industry. Even so, industry was expected to grow more rapidly.
- **Second Plan, 1968–1972**
  The Second Plan identified industry as the leading sector. Urbanization was expected to stimulate demand for manufactured goods. It was also expected to increase the labor available to industry.

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- **Third Plan, 1973–1977**
  The Third Plan gave greater weight to producing machinery and intermediate goods domestically. It was placed within a new twenty-two-year perspective linked to European integration. Planned changes in the structure of production accompanied targets for aggregate growth.
- **Fourth Plan, 1979–1983**
  The Fourth Plan was prepared after a gap year in 1978. It emphasized investment goods, energy, and wider ownership of industrial enterprises. The economic and political crisis prevented the proposed strategy from being carried through.

Scope of comprehensive planning

- **Earlier industrial plans**
  The industrial plans of the 1930s concentrated on selected establishments and industries. Their projects were chosen partly for their use of domestic raw materials and their ability to replace imports. The plans begun in 1963 were designed to cover the economy as a whole.
- **Output, finance, employment, and trade**
  National output, savings, and investment resources were considered together. Public finance and incentives for private investment were linked to employment and foreign trade objectives. The initial growth model related the target growth rate to the saving rate and the capital-output ratio.

Scope of comprehensive planning

- **Education, health, transport, and science**
  Transport policy formed part of the wider planning framework. Education, health, science, and technology policies were included alongside economic targets. The creation of a national scientific research council was one institutional response to the need for qualified personnel and research capacity.
- **Coordination of economic and social change**
  Sectoral targets were designed to contribute to an overall growth objective. Economic planning also covered the social conditions needed for development. Progress depended on whether investment, financing, skills, and public services could expand together.

Planning in the public and private sectors

Dimension	Public sector	Private sector
Plan status	Compulsory directions	Indicative guidance
Allocation mechanism	Public investment decisions	Incentives and support
Responsibility	Implement government priorities	Respond to incentives and markets
Constraint	Political and social pressures	Expected profitability and financing

- **Public-sector obligations**
  The plans gave compulsory directions to the public sector. Public enterprises in manufacturing and banking were expected to follow government priorities. Their investment decisions nevertheless remained subject to political, social, and financial constraints.
- **Private-sector guidance**
  For private enterprises, plan targets were indicative. Investment could be encouraged through measures such as tax exemptions, deductions, and lower duties on inputs. Firms retained discretion over their response to these incentives.

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- **Limits of coordination**
  Public and private investment could be directed toward a common objective through different mechanisms. Government could give directions to public enterprises, while private investment depended on how firms responded to support and market conditions. Shared targets therefore did not imply equal government control over both sectors.

Proposed reforms and implementation limits

Reform	Contribution	Outcome
Agricultural taxation	Finance industrial development	Kaldor proposal rejected
Land reform	Improve distribution and land use	Proposals resisted or not implemented
State enterprise administration	Coordination and autonomy	Political interference continued
Public administration	Improve implementation capacity	Discussed but not carried out

- **Agricultural taxation**
  A tax on the potential output of agricultural land was proposed to help mobilize resources for industrialization. The assessment would depend on the land's productive potential even if the land was not cultivated. The government did not accept the proposal.
- **Land reform**
  One proposal would have limited the size of large holdings according to local conditions such as fertility and irrigation. It did not proceed because of political opposition. A later law was annulled, and land transferred under its limited application was returned.

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- **Governance of state enterprises**
  Reform proposals called for a central body to coordinate public enterprise investment. Operating enterprises were to receive some autonomy. Reform was not carried out, and political interference continued.
- **Public administration**
  Administrative reform was discussed alongside changes in taxation and public enterprise governance. The proposed administrative changes were not implemented. Planning thus began while several institutions needed to carry it out remained unreformed.

Stages of import-substituting industrialization

Basic consumer goods

↓

Consumer durables

↓

Machinery and inputs

- **Basic consumer goods**
  The first stage concentrated on producing basic consumer goods within Türkiye. The expanding domestic market helped manufacturers reach this stage before comprehensive planning began. Private firms supplied many of these goods, while public enterprises supplied some key inputs.
- **Durable consumer goods**
  Domestic industry then moved toward durables such as household appliances and motor vehicles. Assembly lines were widely used, often with imported equipment or components. Local assembly replaced some finished imports while retaining a need for foreign inputs.

Stages of import-substituting industrialization

Basic consumer goods

↓

Consumer durables

↓

Machinery and inputs

- **Intermediate and investment goods**
  Later plans sought domestic production of machinery, equipment, and intermediate goods. The Third Plan emphasized machinery and intermediate products, and the Fourth Plan included engines and other investment goods. Public enterprises were expected to play a major role in producing inputs for domestic manufacturers.
- **Industrial depth and implementation**
  The strategy sought to connect domestic producers of inputs, machinery, and finished products. Investment in iron and steel, petrochemicals, and aluminum enlarged parts of the industrial base. Late attempts to complete this process were curtailed by financing shortages and political instability.

Industrial protection and incentives

- **Tax exemptions and deductions**
  Investment incentives included tax exemptions and deductions from the tax base. These measures reduced the tax cost of establishing or expanding industrial capacity. They formed part of a broader program to protect domestic manufacturing and encourage private investment.
- **Lower duties on imported inputs**
  Duties were reduced on raw materials and intermediate goods used by manufacturers. Cheaper inputs could support domestic production of finished goods. Continued use of imported inputs nevertheless meant that manufacturers still needed foreign exchange.

Industrial protection and incentives

- **Accelerated depreciation**
  Higher depreciation allowances let firms write off investment costs more quickly. This was intended to shorten the period over which capital costs were recovered for tax purposes. It supplemented measures such as investment deductions and export premiums.
- **Scale, technology, and export competition**
  The incentives were not closely tailored to location, firm size, or production technology. Domestic demand received priority, so export competition was given less attention. Costs, quality, and production scale were therefore not fully considered together when support was granted.

Public and private capital formation

Source	First Plan	Second Plan	Third Plan
Public (%)	59.6	63.3	61.2
Private (%)	40.4	36.7	38.8
Total (bn TL)	27.4	73.5	441.2

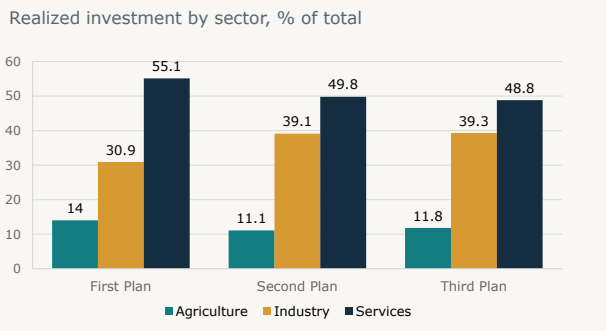
- **Public capital formation**
  Public shares were 59.6 percent in the First Plan and 63.3 percent in the Second. They fell to 61.2 percent in the Third. The public sector still accounted for more than half of capital formation in all three periods.
- **Private participation**
  Private shares were 40.4, 36.7, and 38.8 percent across the three plans. This was roughly two-fifths of total capital formation. Private investment remained substantial within a system where public investment had the larger share.

Public and private capital formation

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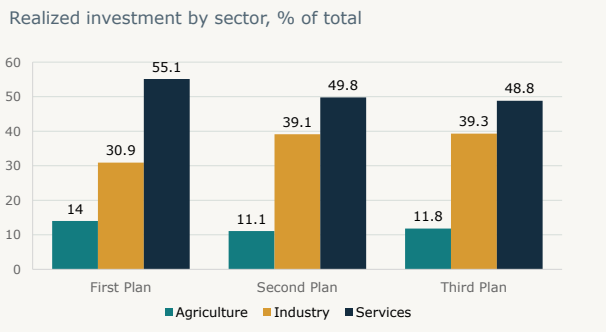
- **Nominal totals and real investment**
  Reported totals rose from 27.4 billion lira in the First Plan to 441.2 billion lira in the Third. These are nominal amounts, so part of the increase can reflect higher prices. Investment at constant prices would be needed to measure growth in real capital formation.

Sectoral allocation of realized investment



- **Industry's investment share**
  Industry received 30.9 percent of realized investment in the First Plan. Its share rose to 39.1 percent in the Second and 39.3 percent in the Third. The increase was consistent with the priority placed on industrialization.
- **Agriculture's investment share**
  Agriculture received 14.0 percent of realized investment in the First Plan. Its share fell to 11.1 percent in the Second and recovered slightly to 11.8 percent in the Third. A smaller share does not by itself show that the amount invested fell.

Sectoral allocation of realized investment



- **Investment in services**
  Services received 55.1 percent of realized investment in the First Plan. Their share declined to 48.8 percent in the Third, still the largest of the three sectors. Transport took a larger share of total investment in the Third Plan, while housing took a smaller share.

Urbanization and employment in the planned period

- **Rural employment in the First Plan**
  The First Plan proposed creating employment opportunities in rural areas. It treated unemployment as a problem that could be addressed partly by expanding work outside the cities. This was part of a longer-term objective to raise employment and living standards.
- **Urbanization in the Second Plan**
  The Second Plan treated urbanization as a means of stimulating development. Migration was expected to enlarge the domestic market and increase the urban labor supply. The approach gave cities a greater role in absorbing workers and supporting industry.

Urbanization and employment in the planned period

- **Appliance demand and labor supply**
  Many rural households lacked electricity, which limited their demand for appliances. The move to cities was expected to expand the market for these goods. At the same time, a larger urban workforce increased competition for jobs.
- **Unemployment and service pressures**
  Unemployment became more severe as urbanization intensified in the 1970s. Small and medium-sized industries did not create enough jobs to absorb the additional workers. Demand for housing, education, and health services also increased.

European integration and long-term planning

- **EEC application and the Ankara Agreement**
  Türkiye applied to the European Economic Community in 1959. The Ankara Agreement was signed in 1963, at the start of the planned period. It established an association with preparatory, transitional, and final stages.
- **Additional Protocol and the transition**
  The preparatory stage was followed by a transition governed by the Additional Protocol. The protocol came into force at the beginning of 1973. The new long-term strategy was prepared with a customs union by 1995 in view.

European integration and long-term planning

- **The 22-year perspective**
  The original long-term perspective covered fifteen years. A new twenty-two-year perspective was adopted alongside the Third Plan in 1973. It specified changes in the composition of production as well as higher national income.
- **Italy as a benchmark**
  The plan used Italy's 1970 income and production structure as a benchmark for Türkiye in 1995. It worked backward from that benchmark to identify the required pace of sectoral growth. The benchmark was a policy target rather than a forecast of what would be achieved.

Planned and realized sources of investment

Source	First P	First R	Second P	Second R	Third P	Third R
Total	18.3	16.0	21.3	16.1	21.9	20.2
Domestic	14.8	14.2	19.4	15.5	21.1	16.0
Foreign	3.5	1.8	1.9	0.6	0.8	4.2

Gross fixed investment (% of GDP). P = planned; R = realized.

- **Shortfalls in gross fixed investment**
  Realized gross fixed investment fell below target as a share of GDP in each of the first three plans. The figures cover buildings, machinery, and equipment before depreciation is deducted. They measure investment relative to the size of the economy.
- **The Second Plan shortfall**
  The Second Plan targeted investment of 21.3 percent of GDP, but the realized ratio was 16.1 percent. The gap of 5.2 percentage points was the largest among the three plans. Both domestic and foreign financing came in below their planned shares.

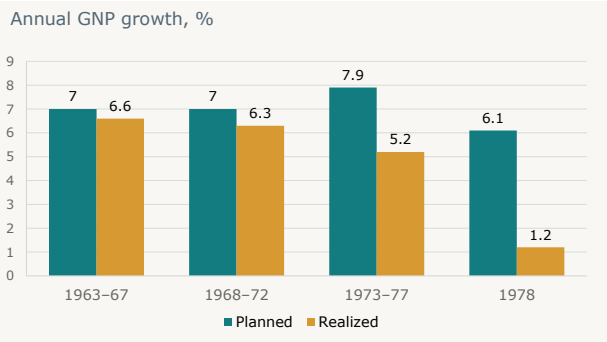
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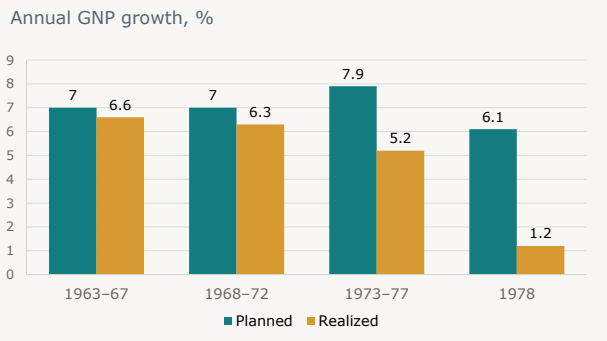
- **Foreign financing under the Third Plan**
  Foreign financing reached 4.2 percent of GDP against a target of 0.8 percent. Domestic financing reached 16.0 percent against a target of 21.1 percent. Higher foreign financing thus offset only part of the domestic shortfall.

Planned and realized GNP growth



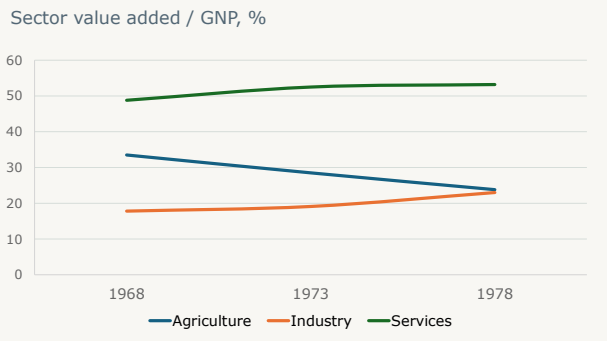
- **The First Plan and its growth target**
  The First Plan targeted annual GNP growth of 7.0 percent. Realized growth was 6.6 percent, a gap of 0.4 percentage points. This was the smallest shortfall among the first three plans.
- **The Second and Third Plan gaps**
  The Second Plan achieved 6.3 percent growth against a 7.0 percent target. The Third achieved 5.2 percent against a higher target of 7.9 percent. The widening gap reflected both a higher target and slower growth in the Third Plan.

Planned and realized GNP growth



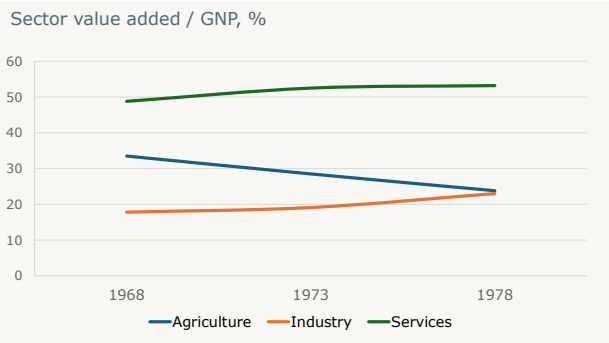
- **Growth in the 1978 gap year**
  The 1978 growth target was 6.1 percent, while realized growth was 1.2 percent. The gap was 4.9 percentage points. This annual observation is shown separately because no five-year plan covered 1978.
- **Targets and outcomes**
  The early growth targets were linked to assumptions about savings and capital requirements. Actual investment was below target in each of the first three plans. Differences between planned and realized growth show the size of the shortfalls but do not isolate their causes.

Sectoral composition of GNP



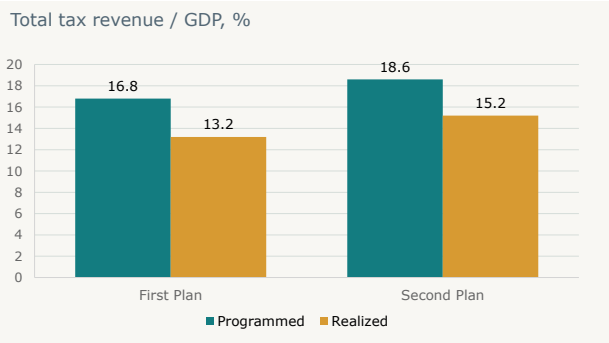
- **Agriculture's share of GNP**
  Agriculture's share of GNP fell from 33.5 percent in 1968 to 23.8 percent in 1978. The share was already down to 28.5 percent in 1973. A declining share shows that agriculture accounted for less of national output, even if its output did not fall in absolute terms.
- **Industry's share of GNP**
  Industry's share rose from 17.8 percent in 1968 to 23.0 percent in 1978. The shift was consistent with the plans' emphasis on industrial investment. It does not by itself show whether individual industrial projects achieved their targets.

Sectoral composition of GNP



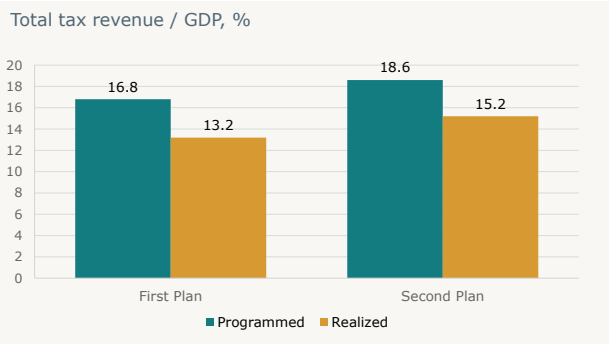
- **Services as the largest sector**
  Services represented 48.8 percent of GNP in 1968 and 53.2 percent in 1978. They remained the largest sector as industry's share increased. The decline in agriculture's share was therefore accompanied by gains in both industry and services.
- **Structural change and missed targets**
  The composition of national output changed even as aggregate growth fell short of the plans. Agriculture lost share while industry and services gained share. Sectoral shares and growth targets answer different questions about the results of planning.

Planned and realized tax revenue



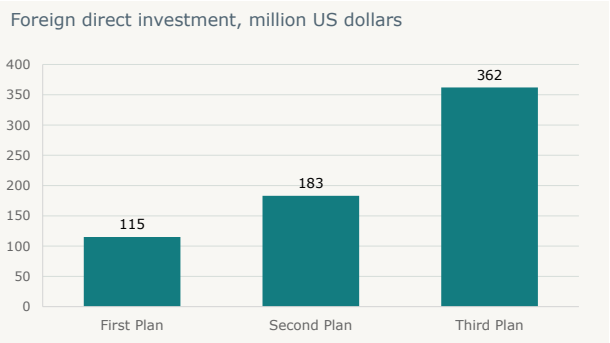
- **The First Plan tax shortfall**
  The First Plan projected tax revenue equal to 16.8 percent of GDP. Actual receipts were 13.2 percent, leaving a gap of 3.6 percentage points. The proposed agricultural tax had not been adopted as a source of additional revenue.
- **The Second Plan tax shortfall**
  The Second Plan programmed tax receipts at 18.6 percent of GDP. Actual revenue reached 15.2 percent, or 3.4 percentage points less than planned. The ratio improved over the First Plan but remained below the amount assumed for financing.

Planned and realized tax revenue



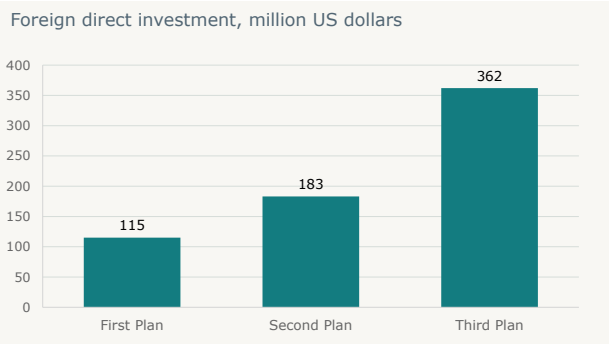
- **Tax revenue and public investment**
  The plans needed resources beyond the domestic savings initially available. When tax receipts fell short, the government faced continuing financing gaps and budget deficits. Foreign borrowing and supplementary financing became important sources of funds.

Foreign direct investment and assembly production



- **Total realized foreign direct investment**
  Realized foreign direct investment was about 660 million US dollars across the first three plans. It rose from 115 million in the First Plan to 183 million in the Second. Government policy directed much of this investment toward manufacturing.
- **The Third Plan share**
  Foreign direct investment reached 362 million US dollars in the Third Plan. That was a little over half of the combined total for the three plans. Manufacturing investment increasingly supported the production of durable consumer goods.

Foreign direct investment and assembly production



- **Assembly and imported components**
  Many foreign-invested manufacturing firms operated assembly lines. Essential components still had to be imported, and some plants were smaller than the scale considered efficient. Greater foreign investment therefore did not automatically eliminate dependence on imported inputs.

The Bretton Woods monetary framework

National currencies

↓

US dollar

↓

Gold at $35 per ounce

- Currencies used adjustable dollar parities, while the dollar linked to gold.
- Capital controls allowed more room for domestic policy.
- Türkiye's development strategy operated within this regulated international system.

Exchange rate adjustment under Bretton Woods

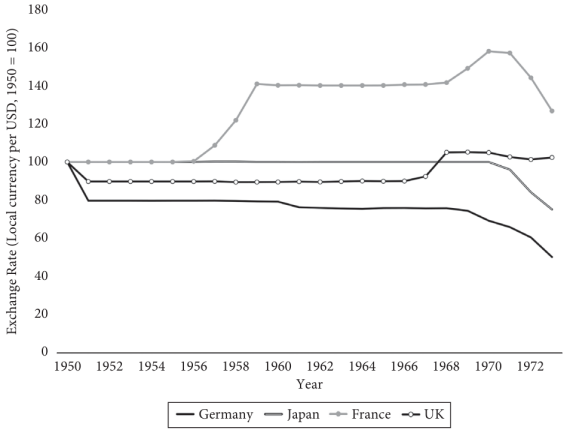


Figure 12.1 Exchange Rates (Local Currency Units per US Dollar), 1950–1973

- The index equals 100 in 1950, so the lines compare changes rather than currency levels.
- A higher index means more local currency per dollar: depreciation against the dollar.
- Türkiye's 1958 devaluation also responded to external payment difficulties.

Domestic costs of external adjustment

Adjustment route	Effect	Difficulty
Reduce spending	Lower demand for imports	Weaker activity and employment
Devalue currency	Encourage exports and restrain imports	Costlier imported inputs
Expand surplus-country demand	Reduce global imbalances	Resistance to inflation or lost competitiveness

- Governments often delayed difficult adjustments.
- Türkiye also faced a conflict between domestic expansion and external balance.

US dollar liabilities and monetary gold

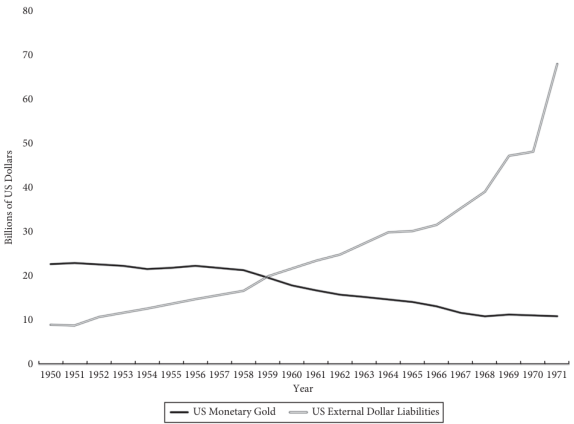


Figure 12.3 US External Liabilities and Monetary Gold, 1950–1971

- Dollar liabilities rose while US monetary gold declined.
- The widening gap weakened confidence in dollar–gold convertibility.
- Convertibility ended in 1971, and major currencies moved toward floating by 1973.

Oil revenues and international lending

Oil-export revenues

↓

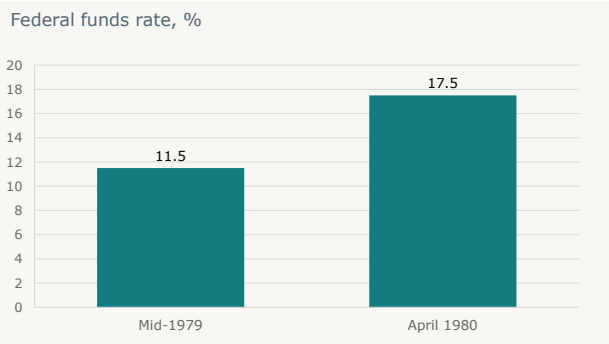
International banks

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Borrowing economies

- Oil exporters placed revenues in international banks.
- Banks lent onward to borrowers seeking external finance.
- Borrowing could finance investment but increased exposure to future financing costs.

US interest rates, 1979–1980



- The rate increased by 6 percentage points between the two dates.
- Higher dollar borrowing costs put pressure on international debtors.
- Türkiye's crisis also reflected oil costs and domestic constraints.

Transmission of external shocks to Türkiye

Shock	Transmission channel	Pressure on Türkiye
Higher oil prices	More expensive essential imports	Larger import bill and production costs
European stagflation	Weaker export demand	Fewer export earnings
Slower European growth	Fewer jobs for migrant labor	Reduced outlet for labor surplus
Cyprus conflict and arms embargo	Defense and political pressures	Additional strain on public resources

- **Higher oil prices**
  Petroleum prices rose sharply at the start of 1974. More expensive fuel raised the foreign currency cost of essential imports. The higher bill worsened the pressure on an economy already running trade deficits.
- **European stagflation and exports**
  Weak growth and rising prices in developed economies affected Türkiye's external markets. Europe mattered because it absorbed about half of Turkish exports. Weaker demand made it harder for export earnings to keep pace with import costs.

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- **European labor markets**
  Employment in Europe had provided an outlet for some of Türkiye's surplus labor. Slower European growth reduced the scope for that outlet. The external downturn therefore affected employment opportunities as well as the trade balance.
- **The Cyprus conflict and the arms embargo**
  The Cyprus conflict increased pressures on military spending. The US arms embargo constrained military procurement. These pressures arrived at the same time as higher oil costs, weaker European demand, and increasingly scarce foreign exchange.

Foreign exchange shortages and industrial production

Limited foreign exchange

↓

Fewer imported inputs

↓

Production shortages

- **Foreign exchange as the immediate bottleneck**
  The late-1970s crisis was driven by several domestic and international pressures. The most immediate constraint was a shortage of foreign currency. It limited the country's ability to pay for imports needed to maintain production.
- **Imported inputs and industrial production**
  Industry still required imported fuel, equipment, and components. The cost of petroleum rose sharply after 1973. When foreign exchange became scarce, the supply of inputs could not keep pace with industrial needs.

Foreign exchange shortages and industrial production

Limited foreign exchange

↓

Fewer imported inputs

↓

Production shortages

- **Limited capacity to adjust production**
  Domestic assembly lines depended on components that could not quickly be replaced. The production structure was not flexible enough to restore balance across markets. Shortages of a few essential inputs could therefore restrict output across several industries.
- **Shortages and unofficial markets**
  Imbalances appeared in goods, labor, money, and foreign exchange markets. Excess demand and restricted supplies encouraged unofficial trading. The foreign exchange market was especially affected.

IMF stand-by arrangements and financing

Agreement year	Duration (months)	Allocated (US$m)	Used (US$m)
1961	12	57	24
1970	12	136	136
1978	24	453	136
1979	12	378	347
1980	36	1,888	1,888

Selected agreements. Dollar amounts are in millions.

- **Renewed financing in the late 1970s**
  The 1978 arrangement provided an allocation of 453 million US dollars, of which 136 million was used. The 1979 arrangement allocated 378 million, of which 347 million was used. The reported utilization rate thus rose from 30.0 to 91.8 percent.
- **The 1980 arrangement**
  The 1980 agreement allocated 1,888 million US dollars, and the reported amount used was also 1,888 million. Its duration was 36 months, longer than the agreements listed for 1978 and 1979. Utilization is measured over the arrangement, so the whole amount should not be read as a flow during 1980.

Industrial priorities in the Fourth Plan

Objective or project	Intended contribution
Investment goods and energy	Reduce production bottlenecks
TÜMOSAN	Domestic engine production
TAKSAN and TEMSAN	Machine tools and electrical machinery
Workers' savings and cooperatives	Broaden financing and ownership

- **Investment goods and energy**
  The Fourth Plan gave priority to domestic production of machinery and other investment goods. Mining and energy also received emphasis. The aim was to deepen industrial capacity while addressing shortages that were limiting production.
- **Engines, machine tools, and electrical machinery**
  TÜMOSAN was intended to produce engines domestically. TAKSAN and TEMSAN focused on machine tools and electrical machinery, respectively. These projects were part of the effort to produce equipment and intermediate goods within Türkiye.

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- **Wider ownership and worker savings**
  The plan sought to widen ownership through cooperatives, worker shareholding, and support for small enterprises. Workers' savings and remittances from Europe were seen as possible sources of finance. A public investment bank was established to help channel those resources toward industrial development.
- **Implementation during the crisis**
  The Fourth Plan was prepared during a severe shortage of foreign exchange. The government sought to pursue industrial investment while also stabilizing the economy. Most of the proposed measures were not put into effect.

Constraints on industrial deepening

Barrier	Why it mattered
Public deficits and existing state enterprise financing	Limited money for new industrial projects
Weak feasibility studies	Unclear economic and technical viability
Resistance from private producers	Existing supply relationships conflicted with public entry
IMF and World Bank policy advice	Favored stabilization and opposed further import substitution

- **Public deficits and state enterprise financing**
  The central government deficit constrained funding for new industrial projects. Existing state enterprises also required public support, including compensation for losses linked to assigned duties. These commitments reduced the room for new industrial investment.
- **Feasibility of new projects**
  Preparatory work on several projects was incomplete. Their technical and economic feasibility had not been fully assessed. This left uncertainty about costs, production scale, and commercial viability.

Constraints on industrial deepening

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- **Resistance from private producers**
  Vehicle assemblers obtained engines designed or supplied through their parent companies. A common domestic engine producer might have improved scale but would have changed these existing supply arrangements. Private producers opposed assigning engine production to a public enterprise.
- **IMF and World Bank recommendations**
  The IMF and World Bank opposed extending import-substituting industrialization further under crisis conditions. They favored stabilization through measures such as lower public spending and devaluation. Their policy advice added to domestic financing and implementation constraints.

The policy shift of 1980

- **The January 1980 policy package**
  The Fourth Plan sought to produce more intermediate and investment goods at home. Some preparatory work continued into 1980, but the package announced on 24 January sharply changed economic policy. Stabilization and a new policy orientation displaced the proposed push toward heavier industry.
- **The September 1980 military coup**
  Economic crisis and political instability had already obstructed implementation of the Fourth Plan. The military took power on 12 September 1980. The change in political framework accompanied the shift away from the earlier industrialization strategy.

The policy shift of 1980

- **The changing role of plans**
  Plans continued to be prepared after 1980. Their earlier role in directing the allocation of resources weakened as market mechanisms gained importance. This distinguished the post-1980 framework from the comprehensive planning practiced from 1963.
- **Private enterprise and opening to the world economy**
  After 1980, incentives for the private sector and a more open economy became central to policy. Liberalization began in markets for goods and services. The broader liberalization of financial markets came later.

Discussion: Growth, industry, and the external constraint

- **Why did public production expand alongside private enterprise?**
  Demand grew faster than the combined supply of domestic production and imports. Existing public enterprises were expanded and new ones were established to supply goods in short supply. Many public firms supplied inputs used by private manufacturers, which continued to produce consumer goods.
- **Why did import substitution leave foreign exchange shortages unresolved?**
  Replacing a finished import reduced the need to buy that product abroad. Domestic assembly still required imported machinery, fuel, and components. With industry focused primarily on the home market, export earnings did not necessarily rise enough to cover those needs.

Discussion: Growth, industry, and the external constraint

- **Did missed targets rule out structural change?**
  Actual national output growth fell short of planned rates. Yet agriculture's share of national output declined while industry's share increased between 1968 and 1978. The economy could change in composition even when growth and financing fell short of expectations.
- **Which reforms could have improved investment and financing?**
  A proposed tax on agricultural land was intended to mobilize resources for industrial investment. Changes to state enterprise governance were intended to improve coordination and autonomy. More detailed feasibility studies would have helped assess the cost and scale of proposed industrial projects before scarce funds were committed.